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Rees Corporation experienced a fire on December 31, 2011, in which its financial records were partially destroyed. It has been able to salvage some of the records and has ascertained the following balances.

December 31, 2011 December 31, 2010

Cash \$ 30,000 \$ 10,000

Receivables (net) 72,500 126,000

Inventory 200,000 180,000

Accounts payable 50,000 90,000

Notes payable 30,000 60,000

Common stock, \$100 par 400,000 400,000

Retained earnings 113,500 101,000

Additional information:

The inventory turnover is 3.5 times.

The return on common stockholders' equity is 24%. The company had no additional paid-in capital.

The receivables turnover is 8.8 times.

The return on assets is 20%.

Total assets at December 31, 2010, were \$605,000.

Instructions

Compute the following for Rees Corporation. (a) Cost of goods sold for 2011. (b) Net sales (credit) for 2011. (c) Net income for 2011. (d) Total assets at December 31, 2011.

(a) Cost of goods sold \$

(b) Net sales (credit) \$

(c) Net income \$

(d) Total assets \$

Expert Answer

This solution was written by a subject matter expert. It's designed to help students like you learn core concepts.

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(a) **Inventory Turnover Ratio** = [Cost of Goods Sold / Average Inventory]

3.5 = [Cost of Goods Sold / \$190,000]

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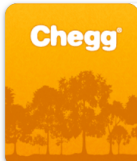
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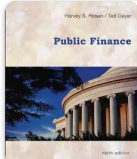
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Average Inventory = [(Beginning Inventory + Ending Inventory) / 2]

Average Inventory = [(\$180,000 + \$200,000) / 2]

Average Inventory = \$190,000

Cost of Goods Sold = [\$190,000 * 3.5]

Cost of Goods Sold = \$665,000

(b) Accounts Receivable Turnover = [Net Sales / Average Accounts Receivables]

8.8 = [Net Sales / \$99,250]

Net Sales (Credit) = [\$99,250 * 8.8]

Net Sales (credit) = \$873,400

Average Accounts Receivables = [Beginning Receivables + Ending Receivables] / 2

Average Accounts Receivables = [(\$126,000 + \$72,500) / 2]

Average Accounts Receivables = \$99,250

(c) [Net Sales - Cost of Goods Sold] = Net Income

[\$873,400 - \$665,000] = \$208,400

Net Income = \$208,400

(d) Return on Assets = [Net Income / Total Assets]

20% = [\$208,400 / Total Assets]

0.20 = \$208,400 / Total Assets

Total Assets = [\$208,400 / 0.20]

Total Assets = \$1,042,000

Was this answer helpful?



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Practice with similar questions

Q: Exercise 13-12 Panza Corporation experienced a fire on December 31, 2017, in which its financial records were partially destroyed. It has been able to salvage some of the records and has ascertained the following balances. December 31, 2017 December 31, 2016
Cash \$ 30,000 \$ 10,000
Accounts receivable (net) 72,500 126,000
Inventory 200,000 180,000
Accounts payable 50,000 90,000
Notes payable 30,000 60,000
Common stock, \$100

par 400,000 400,000Retained e...

A: [See answer](#)  100% (3 ratings)

Q: Lewis Corporation experienced a fire on December 31, 2017, in which its financial records were partially destroyed. It has been able to salvage some of the records and has ascertained the following balances. December 31, 2017
December 31, 2016
Cash \$ 30,000 \$ 10,000
Receivables (net) 85,000 125,000
Inventory 200,000 180,000
Accounts payable 50,000 90,000
Notes payable 30,000 60,000
Common stock, \$100 par 400,000 400,000
Retained earnings 130,000 101,000
A...

A: [See answer](#)  100% (1 rating)

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Q: Rees Corporation experienced a fire on December 31, 2011, in which its financial records were partially destroyed. It has been able to salvage some of the records and has ascertained the following balances. December 31, 2011
December 31, 2010
Cash \$ 30,000 \$ 10,000
Receivables (net) 72,500 126,000
Inventory 200,000 180,000
Accounts payable 50,000 90,000
Notes payable 30,000 60,000
Common stock, \$100 par 400,000 400,000
Retained earnings 113,500 101,000
Ad...

A: [See answer](#)

Q: Rees Corporation experienced a fire on December 31, 2014, in which its financial records were partially destroyed. It has been able to salvage some of the records and has ascertained the following balances. December 31, 2014
December 31, 2013
Cash \$ 29,480 \$ 19,520
Receivables (net) 78,400 121,400
Inventory 192,200 176,900
Accounts payable 50,230 89,390
Notes payable 32,740 58,610
Common stock, \$100 par 415,000 415,000
Retained earnings 135,000 128,000
Additional inform...

A: [See answer](#)

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